Tata Consultancy Services Ltd. (TCS)

Equity Research Report

Discounted Cash Flow (DCF) Valuation

Executive Summary
Company: Tata Consultancy Services
Method: Discounted Cash Flow (DCF)
Forecast: FY26–FY30
Intrinsic Value: ₹2,049.71/share

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Company Overview

- **Tata Consultancy Services (TCS)** is India's largest IT services and consulting company and a flagship enterprise of the Tata Group. The company provides a wide range of technology solutions, including software development, cloud computing, artificial intelligence, cybersecurity, digital transformation, and business process outsourcing, serving clients across multiple industries worldwide.

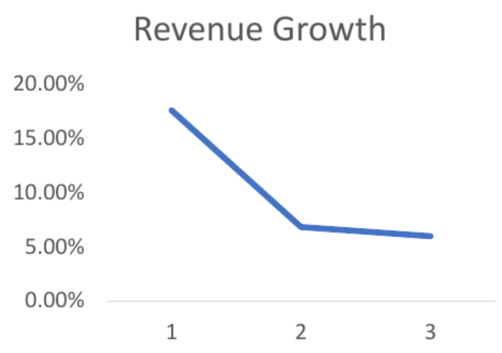
Particular	Details
Founded	1968
Headquarters	Mumbai, India
Parent Company	Tata Group
Industry	Information Technology Services
Operations	55+ Countries
Employees	600,000+

Investment Thesis

•Market leader in India's IT services industry.
•Strong and consistent free cash flow generation.
•Diversified global client base.
•Healthy operating margins and balance sheet.
•Long-term growth supported by digital transformation and AI adoption.

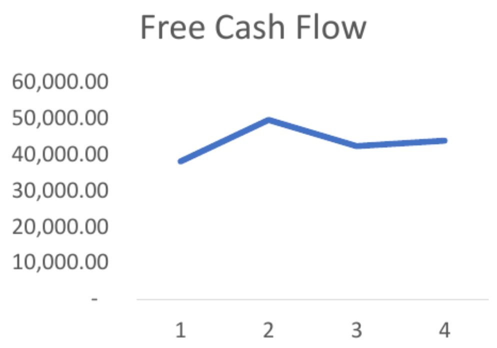
Historical Financial Performance

- *Analyzing TCS's financial performance (FY22–FY25) to understand historical trends and support future projections.*



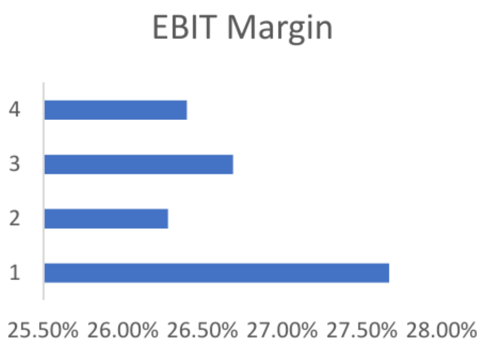
Observations

- Revenue increased consistently over the historical period, reflecting TCS's stable business model and diversified client base.
- Growth remained positive despite a challenging macroeconomic environment, demonstrating resilience in demand for IT services.



Observations

- TCS generated consistently positive free cash flows across the historical period.
- Strong cash generation provides flexibility for shareholder returns, acquisitions, and future investments.

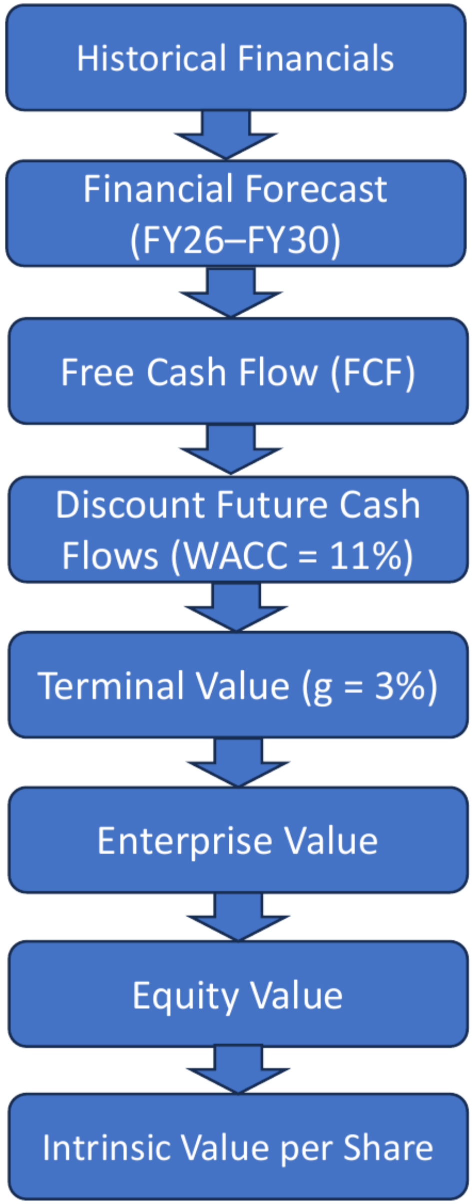


Metric	Observation
Revenue Trend	Stable year-on-year growth
EBIT Margin	Consistently around 26–27%
Free Cash Flow	Positive across all available years
Profitability	Strong operating performance

Discounted Cash Flow (DCF) Valuation Methodology

The Discounted Cash Flow (DCF) method estimates a company's intrinsic value by forecasting future Free Cash Flows (FCF) and discounting them to their present value using the Weighted Average Cost of Capital (WACC). A terminal value is then calculated to capture cash flows beyond the forecast period.

Assumption	**Value**
Forecast Period	FY26–FY30
Revenue Growth	8%, 8%, 7%, 7%, 6%
EBIT Margin	26.5%
Tax Rate	25.3%
Depreciation (% Sales)	2.2%
CapEx (% Sales)	2.5%
Working Capital (% Sales)	19%
WACC	**11%**
Terminal Growth Rate	**3%**



Key Assumptions

•Forecasts are based on historical financial performance and conservative growth expectations.
•WACC represents the required rate of return for investors.
•Terminal growth is assumed at 3% to reflect long-term sustainable growth.

Valuation Summary

- *Results based on the Discounted Cash Flow (DCF) valuation model.*

Metric	Value
Enterprise Value	**720,423**
Cash & Investments	**30,964**
Debt	**9,392**
Equity Value	**741,995**
Shares Outstanding (Cr)	**362**
Intrinsic Value / Share	**₹2,049.71**

Parameter	Value
Forecast Period	FY26–FY30
WACC	11%
Terminal Growth	3%
Valuation Method	DCF
Intrinsic Value	**₹2,049.71/share**

Based on the assumptions used in this DCF model, the estimated intrinsic value of **TCS is ₹2,049.71 per share**. The valuation is highly dependent on the forecast assumptions, particularly the WACC and terminal growth rate.

Key Takeaways

- Built a five-year financial forecast based on historical performance.
- Estimated enterprise and equity value using the DCF approach.
- Demonstrated how valuation changes with assumptions such as WACC and terminal growth.

Investment Risks & Limitations

Key Business Risks

1. Global IT Spending Slowdown

- A decline in enterprise technology spending could reduce demand for TCS's IT services and consulting business.

2. Currency Fluctuations

- Since TCS earns a significant portion of its revenue from international markets, exchange rate movements can impact revenue and profitability.

3. Margin Pressure

- Rising employee costs, wage inflation, and increased competition may affect operating margins over time.

4. Technological Disruption

- Rapid advancements in AI and automation require continuous investment to remain competitive in the IT services industry.

Model Limitations

Assumption Sensitivity

The DCF valuation depends heavily on assumptions such as:

- Revenue Growth
- EBIT Margin
- WACC
- Terminal Growth Rate

Even small changes in these assumptions can significantly impact the estimated intrinsic value.

Data Source

Financial data used in this report is based on publicly available information and historical financial statements.

Key Takeaway

This valuation should be viewed as one possible estimate based on the assumptions used rather than a precise prediction of TCS's future market value.

Conclusion

• Valuation Summary

Based on the Discounted Cash Flow (DCF) model developed in this report, the estimated **intrinsic value of TCS is ₹2,049.71 per share** under the assumptions used. The valuation reflects TCS's strong cash-generating ability, stable operating margins, and resilient business model. However, the estimated value is sensitive to changes in key assumptions such as revenue growth, WACC, and terminal growth rate

• Key Learnings

1. Through this project, I gained practical experience in:
2. Building a complete DCF valuation model from scratch.
3. Forecasting financial statements and estimating future free cash flows.
4. Calculating Enterprise Value, Equity Value, and Intrinsic Value.
5. Understanding the impact of valuation assumptions on investment decisions.
6. Presenting financial analysis in a structured equity research format.

Finance	Analytics
Financial Statement Analysis	Microsoft Excel
Financial Forecasting	Financial Modeling
Discounted Cash Flow (DCF)	Data Analysis
Valuation Techniques	Business Communication

This report was prepared as a personal finance project to strengthen my understanding of financial modeling, valuation, and equity research. The analysis is intended for educational and portfolio purposes and should not be considered investment advice.

Sources

•TCS Annual Reports (FY22–FY25)
•Screener.in
•Company Investor Presentations

Sensitivity Analysis

Impact of changes in WACC and Terminal Growth on Intrinsic Value per Share

WACC ↓ / Terminal Growth →	2%	3%	4%
10%	**₹2,116**	**₹2,340**	**₹2,640**
11%	**₹1,881**	**₹2,049**	**₹2,266**
12%	**₹1,694**	**₹1,824**	**₹1,986**

Observation: Lower discount rates and higher terminal growth assumptions increase the estimated intrinsic value, highlighting the sensitivity of DCF valuations to key assumptions.

Appendix A – Historical Financial Analysis

Particulars	FY22	FY23	FY24	FY25	Average
Revenue	1,91,754.00	2,25,458.00	2,40,893.00	2,55,324.00	
EBIT	53,057.00	59,259.00	64,296.00	67,407.00	
EBIT Margin	27.67%	26.28%	26.69%	26.40%	26.76%
Tax Rate	25.61%	25.66%	25.64%	25.31%	25.56%
NOPAT	39,468.12	44,051.41	47,808.46	50,347.60	
Depreciation	4,604.00	5,022.00	4,985.00	5,242.00	
CapEx	4881	4,239.00	4,074.00	8,691.00	
Change in Working Capital	1061	-4,769.00	6,380.00	3,005.00	
Free Cash Flow	38,130.12	49,603.41	42,339.46	43,893.60	
Profit Before tax	51,687.00	56,907.00	61,997.00	65,331.00	
Tax	13,238.00	14,604.00	15,898.00	16,534.00	
CapEx % Sales	2.55%	1.88%	1.69%	3.40%	2.38%
Depreciation % Sales	2.40%	2.23%	2.07%	2.05%	2.19%
Revenue Growth		17.58%	6.85%	5.99%	10.14%
Working Capital % Sales	22.92%	17.38%	18.92%	19.02%	19.56%

Assuming cap ex as we don’t have exact values

Profit & Loss | Historical Financials | Forecast | DCF Valuation | Quarters | Balanc

Appendix B – Forecast Model

Particular	FY26	FY27	FY28	FY29	FY30	Assumptions values
Revenue Growth	8.00%	8.00%	7.00%	7.00%	6.00%	8.00%
Revenue	2,75,749.92	2,97,809.91	3,18,656.61	3,40,962.57	3,61,420.32	
EBIT Margin	26.50%	26.50%	26.50%	26.50%	26.50%	26.50%
EBIT	73,073.73	78,919.63	84,444.00	90,355.08	95,776.39	
Tax Rate	25.30%	25.30%	25.30%	25.30%	25.30%	25.30%
NOPAT	54,586.08	58,952.96	63,079.67	67,495.25	71,544.96	
Depreciation (% Sales)	2.20%	2.20%	2.20%	2.20%	2.20%	2.20%
Depreciation	6066.49824	6551.818099	7010.445366	7501.176542	7951.247134	
CapEx (% Sales)	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
CapEx	6,893.75	7,445.25	7,966.42	8,524.06	9,035.51	
Working Capital (% Sales)	19%	19%	19%	19%	19%	19%
Working Capital	52,392.48	56,583.88	60,544.76	64,782.89	68,669.86	
Change in Working Capital	3,807.48	4,191.40	3,960.87	4,238.13	3,886.97	
Free Cash Flow	49,951.34	53,868.13	58,162.83	62,234.22	66,573.73	

Appendix C – DCF Valuation Model

Particulars	FY26	FY27	FY28	FY29	FY30
Free Cash Flow	49,951.34	53,868.13	58,162.83	62,234.22	66,573.73
Discount Factor	0.9009009	0.8116224	0.73119138	0.65873097	0.59345133
Present Value of FCF	45,001.21	43,720.59	42,528.16	40,995.61	39,508.27

A	B
Terminal Growth Rate	3%
WACC	11%
Terminal Value	8,57,136.72
PV of Terminal Value	5,08,668.93
Enterprise Value	7,20,422.76
Cash & Investments	30,964.00
Debt	9,392.00
Equity Value	7,41,994.76
Shares Outstanding	362.00
Intrinsic Value per Share	2,049.71